

# Pallexa — operations software for third-party logistics providers

## The Problem

A third-party logistics provider running four warehouses for thirty brand clients manages the operation in a warehouse management system built in 2004, a set of spreadsheets for client billing, and email for everything in between.

Billing is where it hurts. The contracts are per-pallet, per-pick, per-receipt, with surcharges that vary by client and by season, and reconciling a month takes two people four days. Somewhere between 3% and 7% of billable activity is never invoiced, because nobody can find it.

## Our Solution

Pallexa sits on top of the existing warehouse system and runs the operational and commercial layer: labour planning, client billing, exception handling and the client-facing portal.

Every billable event is captured at the point it happens, priced against that client's contract, and accrued in real time. The month-end close goes from four days to under two hours, and the revenue that used to leak is invoiced.

We do not replace the warehouse management system. That decision cost us two larger deals and won us eleven smaller ones, because replacing a WMS is a nine-month project no operator wants.

## The Market

Third-party logistics is a large industry with a small software market, and we should be honest about the shape of it.

Our target is providers operating between three and twenty warehouses. In Europe and North America there are approximately 1,400 of them. Below three warehouses the spreadsheets are survivable; above twenty the operator has an internal development team and has already built this.

At our current pricing, 1,400 operators represent a total addressable market of roughly \$310M. That is the real number. We are not going to multiply the entire logistics industry by a software attach rate to produce a larger one.

## Competition

Two warehouse management vendors have billing modules that work if you run their WMS. One billing specialist serves the very large operators. Most of our

competition is a spreadsheet and a long-serving operations manager who knows where everything is.

## The Team

Rasmus Lie spent eleven years in 3PL operations, the last four as operations director for a nine-warehouse provider. Claire Beaumont built billing systems at a freight forwarder and led the team that rebuilt its rating engine.

Seventeen people, six of them former warehouse operators, which is why the product fits the way the work is actually done.

## Traction

- 38 logistics providers, covering 191 warehouses
- €3.1M annual recurring revenue
- 2.8% annual churn — operators do not switch this lightly once it runs the billing
- net revenue retention 119%
- average recovered billing of 4.1% of client revenue in the first year, which is how the product pays for itself

## Business Model

Per-warehouse subscription from €1,400 to €3,200 a month by volume, plus implementation. Gross margin 79%. Acquisition cost €14,000 against first-year contract value of €81,000.

The unit economics are good. The ceiling is the customer count.

## Go-To-Market

Direct sales into a market where everyone knows everyone — eleven of our thirty-eight customers came from a reference by another customer.

## Funding

We are raising €9M to cover the remaining European operators and to open North America, where the same 1,400-operator logic applies at roughly twice the count.